

E-Commerce Report

RentConnect

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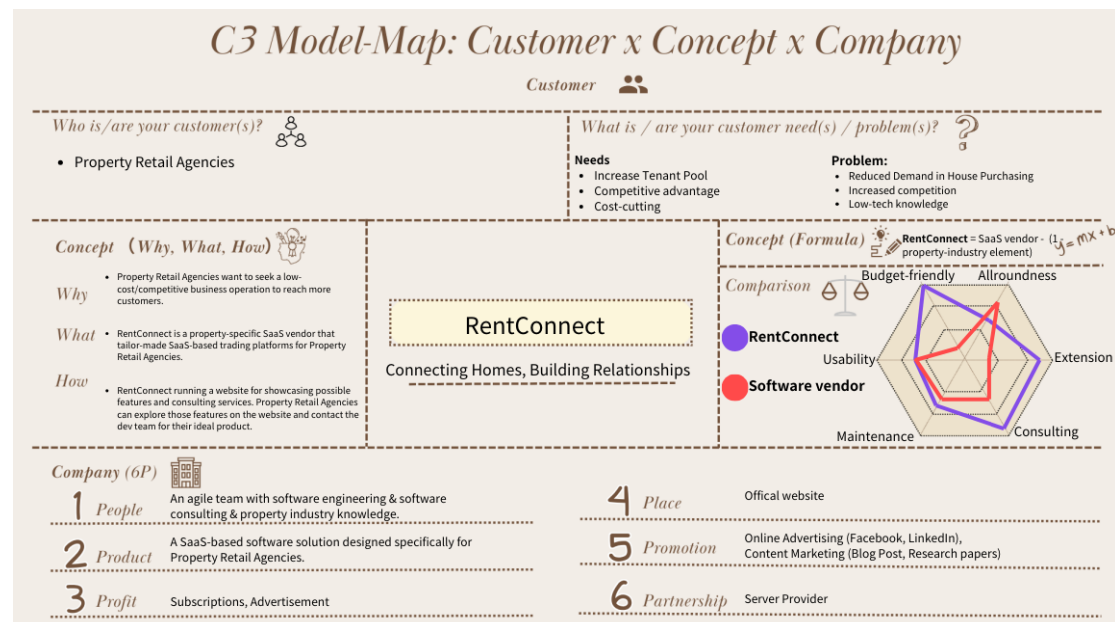
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Introduction

RentConnect is a Software-as-a-Service (SaaS) platform exclusively designed for property retail agencies. RentConnect allows you to seamlessly streamline your rental management operations, enhance your listings, drive higher lead conversions, and even unlock the potential of pair rentals, all in one comprehensive solution.

Business model - C3 model map

To outline the idea of RentConnect, the C3 model map is needed to define its business nature and market position initially.



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The C3 model map systematically outlined the idea of RentConnect. Explanations are needed for the supplement in some sections.

What is / are your customer need(s) / problem:

Regarding "reduced demand in house purchasing," the market is unfavorable, and people cannot afford homes. Therefore, most of these 'buyers' would choose to rent instead of buying, which results in a drop in the number of potential buyers approaching Property Retail Agencies.

Regarding "increased competition," with fewer buyers, agencies may need to compete more aggressively to secure listings and attract clients.

Regarding "low-tech knowledge," property retail agencies are often unfamiliar with technical knowledge and implementation, which has lost its technical advantage.

Regarding "increase tenant pool," Property Retail Agencies want to attract a larger pool of potential tenants for their rental properties.

Regarding "competitive advantage," Property Retail Agencies want to differentiate themselves from competitors by introducing disruptive innovation.

Regarding "cost-cutting," Property Retail Agencies want to reduce expenses and optimize their operations to manage the impact of reduced demand challenges.

Concept (Formula):

RentConnect = SaaS vendor - (1 - property-industry element)

The formula indicated that RentConnect is a SaaS vendor that abandons all unnecessary software features and only focuses on the feature/element that relates to or is involved in the property industry.

Comparison:

Compared with traditional software vendors, RentConnect has some main advantages.

It provides a more budget-friendly option because it provides property-specific functions in the software and eliminates unnecessary functions.

Moreover, since RentConnect aims to provide long-term trading platforms for agencies, the compatibility of the software is higher than that of standard software for continuous integration.

Lastly, RentConnect is property-industry-oriented, and it accumulates plentiful experience and knowledge. Thus, it can identify and comprehensively convert customers' needs.

Business model - Business model canvas

A business model canvas is applied to refine the idea of RentConnec

Key Partners	Key Activities	Value Proposition	Customer Relationships	Customer Segments
• Server Provider (e.g. AWS)	• Market research • Agile software development • Maintenance	• Pair Rental Functionality • Increase sale • Increase competitiveness • Budget-friendly • Cost-cutting • Customization • Robust Listing Management • Advanced Lead Management and Tracking • Analytics and Reporting • Dedicated Training and Support	• Customer Support	• Property Retail Agencies
	Key Resources		Channels	
	• An agile team with software engineering & software consulting & property industry knowledge. • Software infrastructure and development tools • Partnership with server provider		• Official website • Online Advertising (Facebook, LinkedIn) • Content Marketing (Blog Post, Research papers)	
Cost Structure			Revenue Streams	
• Software Development cost • Maintenance cost • Promotion cost • Server and Infrastructure fee • Administration fee			• Subscription fee • Dynamic fee (e.g larger database and customized functions...)	

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Business Development:

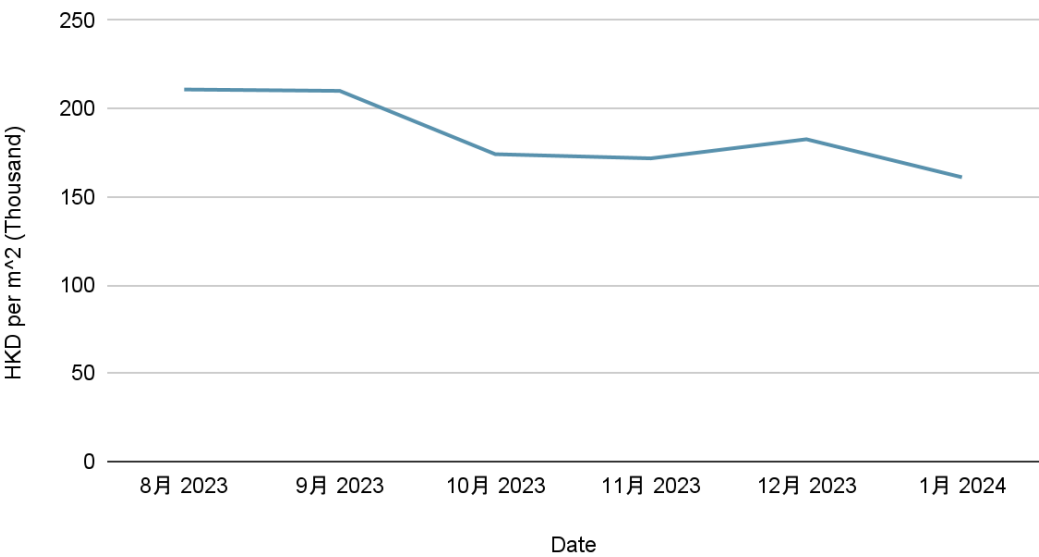
1. Market Analysis

To identify an innovative and practical business opportunity, market analysis is essential for discovering the unfulfilled customers' needs.

<i>Year(Month)</i>	<i>Price per m^2</i>
<i>2023(8)</i>	<i>HKD 210 809</i>
<i>2023(9)</i>	<i>HKD 210 025</i>
<i>2023(10)</i>	<i>HKD 174 146</i>
<i>2023(11)</i>	<i>HKD 171 789</i>
<i>2023(12)</i>	<i>HKD 182 607</i>
<i>2024(1)</i>	<i>HKD 161 081</i>

Apartment Price (70m^2 Hong Kong Island)

Apartment Pricing (70m^2) Trend

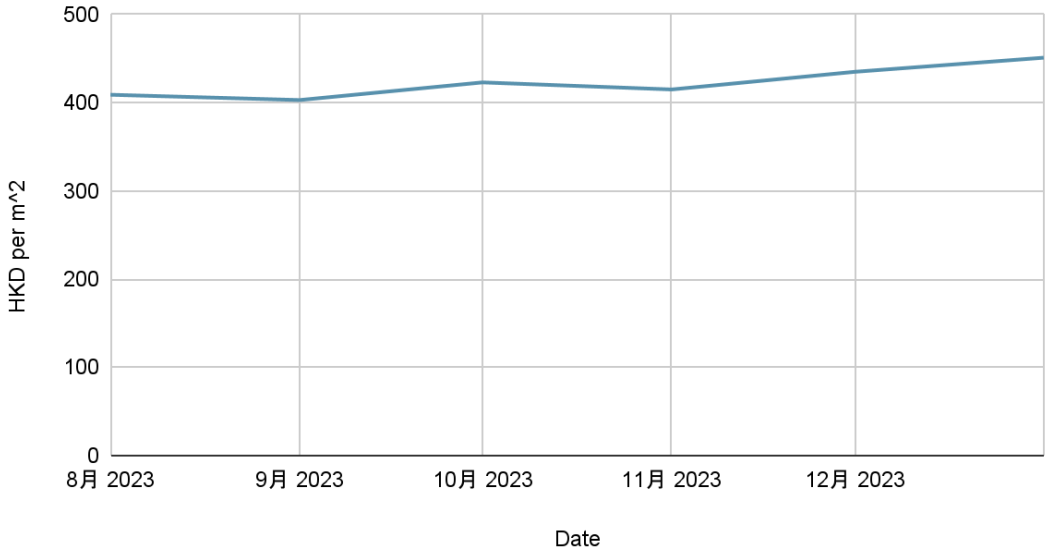


The graph shows a fluctuating pattern with a general downward trend in apartment prices during the observed period. This indicates a potential decrease in demand or market conditions that lead to a reduction in apartment prices.

<i>Year(Month)</i>	<i>Price per m²</i>
<i>2023(8)</i>	<i>HKD 409</i>
<i>2023(9)</i>	<i>HKD 403</i>
<i>2023(10)</i>	<i>HKD 423</i>
<i>2023(11)</i>	<i>HKD 415</i>
<i>2023(12)</i>	<i>HKD 435</i>
<i>2024(1)</i>	<i>HKD 451</i>

Apartment Rents (70m² Hong Kong Island)

Average Rents (70m²) Trend



The graph shows fluctuations in apartment rents during the observed period, with alternating increases and decreases. The rental prices exhibit a pattern of minor declines followed by rebounds and subsequent increases. It can be seen that the cost of rent increases during this period.

Market Stability:

The Hong Kong property market has experienced a shift, with end-users becoming the primary drivers rather than investors and speculators. This shift has resulted in a more stable market environment with fewer extreme price fluctuations. The reduced speculative activity contributes to a healthier and more sustainable market.

Supply and Demand:

The current property market in Hong Kong faces a severe supply shortage, with a vacancy rate of only 4.4%, below the natural vacancy rate of 5%. This indicates a high demand for housing, including shared apartments. RentConnect can capitalize on this demand by providing a platform for individuals to connect and find suitable roommates, enabling them to share rental expenses and address the housing shortage.

Economic Conditions:

While there may be concerns about the Hong Kong economy not meeting growth expectations, it has not entered a recession. The unemployment rate remains low at 3%, indicating a stable job market and the ability of the working population to afford housing costs. These relatively stable economic conditions contribute to the resilience of the property market and provide a favorable environment for rental opportunities.

Rental Market:

Despite potential concerns in the property market, rental prices have not declined in line with property prices. This suggests that there is still a strong demand for housing in Hong Kong, and individuals are willing to pay higher rents, demonstrating their ability to afford the increased costs. RentConnect can tap into this market by providing a platform where individuals seeking shared accommodations can connect, simplifying finding suitable roommates and shared apartments.

Mortgage Referral Service Insights:

According to the Mortgage Referral Service, over 81% of interviewees are planning to wait to purchase any property in the upcoming year. This indicates a potential increase in demand for rental options compared to property purchases. RentConnect can leverage this trend by offering a convenient and efficient platform for individuals seeking rental accommodations, connecting them with compatible roommates, and expanding the rental market.

Financial Outlook:

As per CK Asset Holdings Limited, property sales revenue has declined by 48.9% year-on-year, amounting to HKD 13.153 billion. On the other hand, property rental income has increased by 1.1% year-on-year, reaching HKD 5.99 billion. This suggests that the rental market remains resilient, presenting an opportunity for RentConnect to capture a share of the rental income.

Professional Insights:

Based on an interview with Mrs. Li from MidLand Realty, the prevailing market trend indicates that many citizens are reluctant to make purchases, as they anticipate a potential decline in the market and aim to capitalize on buying opportunities when prices are low. Conversely, in the rental market, most individuals opt to rent properties due to the current market conditions. However, with rising rental prices, some young individuals find it challenging to afford apartments and are choosing to continue living with their parents. We often resort to cold calling and distributing leaflets to reach a broader audience, as it can be challenging to connect with clients

directly.

2. Define Value Proposition:

RentConnect offers property retail agencies a comprehensive and innovative rental management solution that differentiates them from competitors. Its key features, functionalities, and benefits form a compelling value proposition that effectively addresses the needs of property retail agencies. The unique value proposition of RentConnect can be summarized as follows:

- *Robust Listing Management: RentConnect provides powerful features, enabling agencies to create, update, and manage property listings effortlessly. Agencies have complete control over rental prices, property features, availability, contact information, and other crucial details. This feature saves time and effort, allowing agencies to focus on other core activities.*
- *Advanced Lead Management and Tracking: RentConnect offers advanced lead management tools, allowing agencies to track and analyze user inquiries and monitor user activity effectively. This enables agencies to optimize rental strategies, increase lead conversion rates, and improve overall business performance.*
- *Analytics and Reporting: RentConnect provides comprehensive analytics and reporting capabilities, offering agencies valuable insights into user engagement, lead conversion rates, and other performance metrics. These data-driven insights enable agencies to make informed decisions, refine their rental strategies, and stay ahead of the competition.*
- *Pair Rental Functionality: Unlike many competitors, RentConnect introduces an innovative pair rental functionality. This feature allows tenants to find compatible roommates or housemates for shared living arrangements. Property retail agencies using RentConnect can attract a broader range of potential tenants and expand their market reach by tapping into the growing demand for shared rentals.*
- *Dedicated Training and Support: RentConnect prioritizes customer success by providing comprehensive training and ongoing support. The dedicated team assists with software setup, trains agency staff on platform usage, and promptly addresses technical issues or inquiries. This ensures a smooth onboarding process and a positive customer experience.*
- *Market Advantage: Using RentConnect, property retail agencies gain a competitive edge in the rental management industry. The platform's advanced features, seamless integration, pair rental functionality, and data-driven insights enable agencies to optimize their operations, improve lead conversion rates, and maximize revenue potential.*
- *Low-budget: Implementing functionality in the current application or creating an app purely for 'pair rental' could cost over HKD 100,000. Companies,*

especially start-ups and mid-size companies, could need helpit. Therefore, RentConnect could incentivize property retail companies to cheaply explore the 'pair rental' market.

3. Build Relationships:

- *Establish connections and build relationships with property retail agencies. Attend industry conferences, networking events, and trade shows to meet potential clients and create partnerships.*
- *Leverage online platforms and social media (LinkedIn) to engage with agencies and showcase the benefits of RentConnect.*

4. Product Customization

- *Tailor RentConnect to meet the specific needs of property retail agencies.*
- *Collaborate closely with early adopters and key clients to understand their requirements and customize the platform accordingly.*
- *Gather feedback and iterate on the product to ensure it aligns with market demands.*

5. Marketing and Promotion:

- *Official Website: Optimize the RentConnect website to provide a user-friendly experience and highlight the platform's essential features, benefits, and success stories. Ensure the website is informative, visually appealing, and easy to navigate. Include compelling calls-to-action to encourage property retail agencies to explore RentConnect further.*
- *Online Advertising: Utilize online advertising platforms like LinkedIn and Facebook to target property retail agencies. Create ad campaigns emphasizing RentConnect's unique value proposition and the problems it solves for agencies.*
- *Content Marketing: Develop a content marketing strategy focused on creating informative and valuable blog posts catering to property retail agencies' needs and pain points.*
- *Social Media Engagement: Leverage social media platforms like LinkedIn and Facebook to engage with property retail agencies. Share informative and engaging content, including blog posts, platform updates, industry news, and success stories. Encourage discussions, promptly respond to comments and messages, and foster a sense of community around RentConnect.*
- *Targeted Email Campaigns: Implement targeted email campaigns to reach property retail agencies directly. Segment the email list based on specific*

criteria, such as agency size or location, and tailor the messaging to address their pain points and highlight the benefits of RentConnect.

- *Success Stories and Testimonials: Highlight success stories and testimonials from satisfied property retail agencies who have experienced positive outcomes using RentConnect.*
- *Analytics and Optimization: Continuously monitor and analyze the performance of marketing efforts across various channels—track metrics such as website traffic, click-through rates, engagement, and conversions.*

6. Customer Support:

Provide exceptional support to property retail agencies using RentConnect. Offer comprehensive training programs, documentation, and ongoing assistance to ensure agencies maximize the platform's benefits. Collect customer feedback, address concerns promptly, and continuously improve the user experience.

7. Continuous Improvement:

Stay ahead of market trends and evolving customer needs. Regularly analyze data, gather user feedback, and evaluate the performance of RentConnect. Continuously enhance the platform's features, functionalities, and user interface to provide a cutting-edge solution that meets the changing demands of property retail agencies.

8. Expansion and Scaling:

Regional or International Expansion: Once RentConnect has established a strong presence in its initial target market, explore regional or international expansion opportunities. Conduct market research to identify regions or countries with similar rental management needs and market dynamics (like London, Singapore, New York, and Shang Hai). Adapt the platform to meet the specific requirements of those markets, such as language localization and compliance with local regulations. Develop strategic partnerships with local property retail agencies and leverage their networks and expertise to penetrate new markets effectively.

9. Potential Risk

- *User Privacy Concerns: As RentConnect collects and processes user data, privacy concerns exist.*
 - *Solution:*
 - *By conducting rapid auditing (ISO27001) to minimize the possibility of the system getting hacked*
 - *Make sure the server provider can provide a security firewall*
- *Personal Security Problems of APP users: Property retail companies might be afraid that RentConnect users might be frightened to live with strangers.*
 - *Solution:*
 - *KYC*
 - *Roommate review*

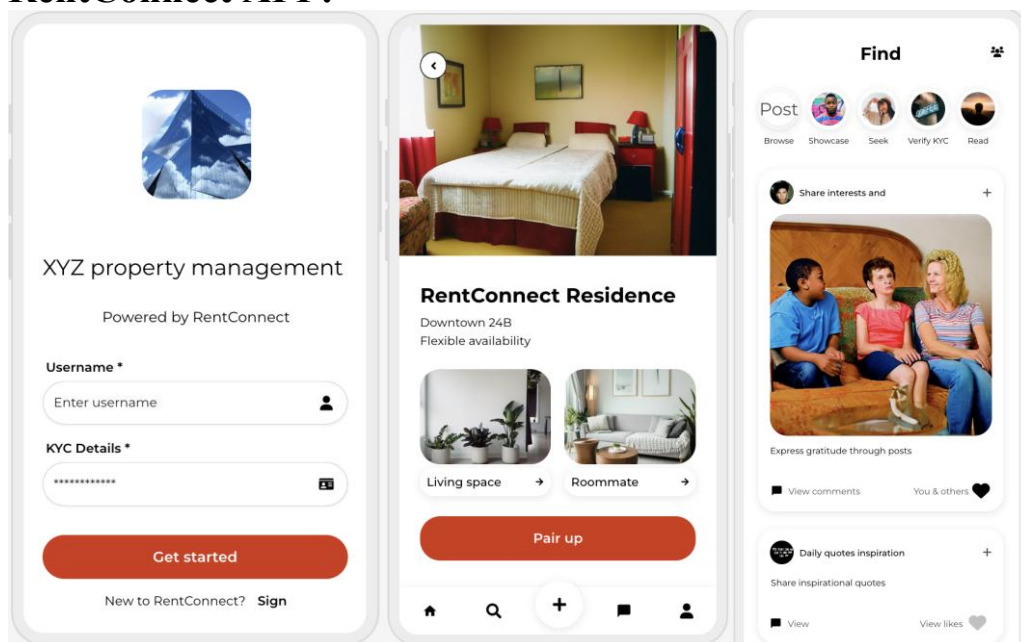
10. Product Pricing

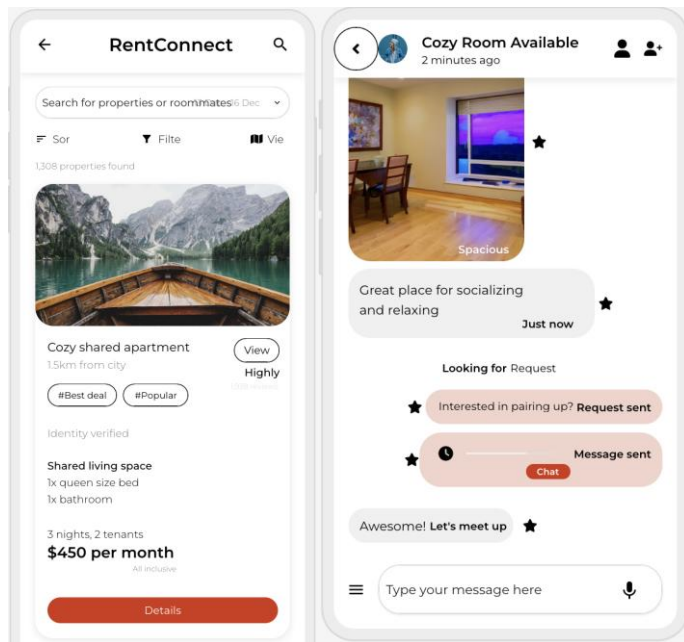
Price Plans

Start Up Plan	Business Plan	Enterprise Plan
\$1500/month \$14400/year (20% off)	\$5000/month \$42000/year (30% off)	Contact Customer Service for presentation
• Basic Functionality of Rentconnect • Maintenance • 1000 property listing • Contract management • Monthly Report on listing • Online Customer Support	• Everything in Basic Plan • 10000 property listing • Customization • Monthly Report on User Activity and User Engagement • Highlight Most Engaged Listing • Reports and Analytics • Marketing Template • Training and Customer Support	
Select Monthly Plan	Select Monthly Plan	Contact Sales
Select Yearly Plan	Select Yearly Plan	

Technical Development:

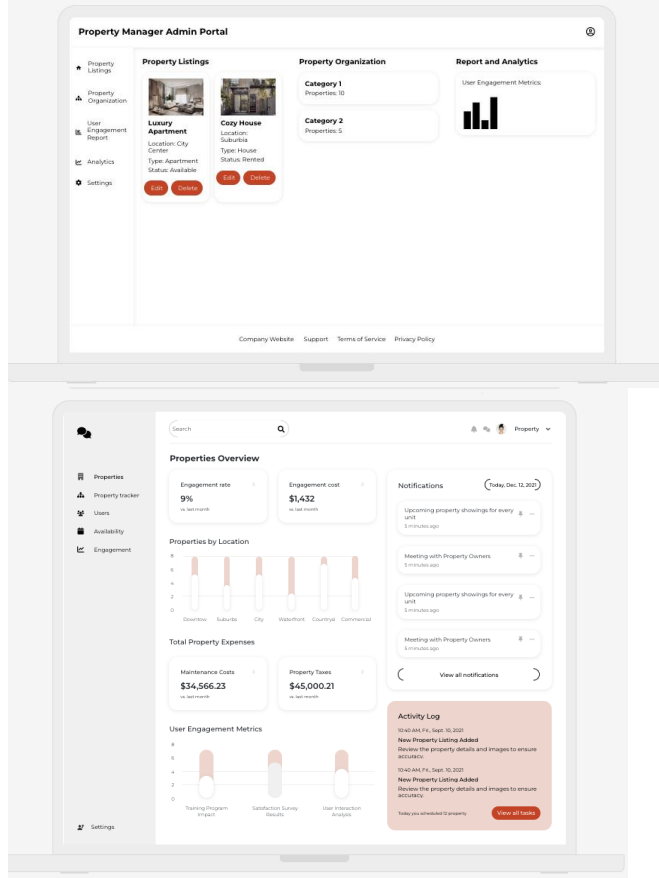
RentConnect APP:





1. *Platform Architecture: Use Electron.js (Web-APP) to build a scalable and robust platform architecture for efficient data processing, storage, and user interactions.*
2. *Mobile Applications: RentConnect offers native mobile applications for iOS and Android devices, providing property retail agencies and landlords with convenient access to the platform's features and functionalities on the go.*
3. *Web Application: RentConnect also provides a web-based application that allows users to access the platform from desktop or laptop computers.*
4. *Data Management: RentConnect incorporates a robust data management system to handle storing, retrieving, and analyzing large volumes of rental data.*
5. *Integration Capabilities: RentConnect integrates with various third-party services and APIs to enhance its functionality and provide seamless user experiences.*
6. *Security Measures: RentConnect prioritizes the security of user data and employs industry best practices to protect sensitive information.*
7. *Continuous Improvement: RentConnect follows an agile development approach, allowing for iterative updates and improvements based on user feedback and evolving market needs.*

Admin Portal of RentConnect (for Property Retail Agents):

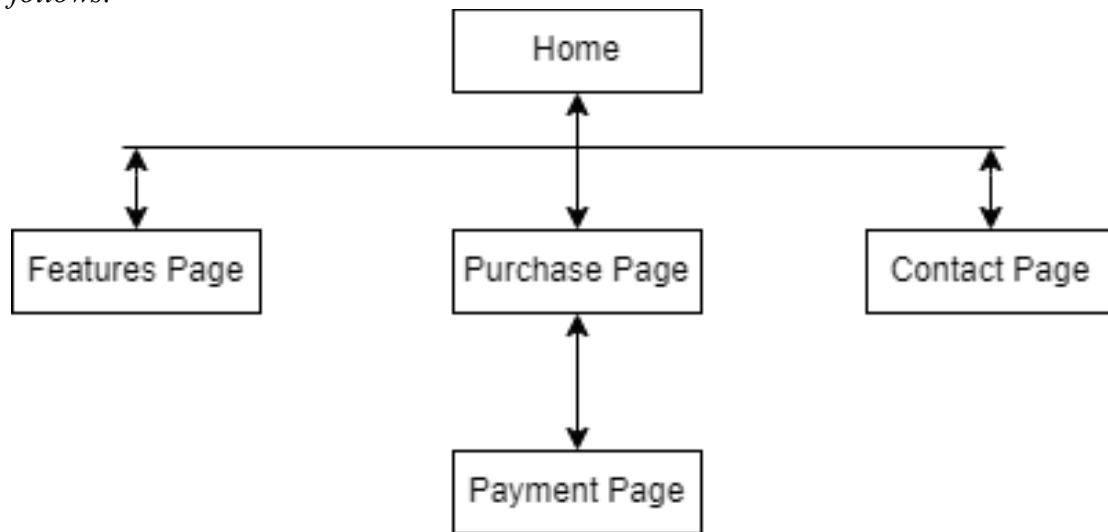


1. *Platform Architecture: Use React (Web-based) to build a scalable and robust platform architecture for efficient data processing, storage, and user interactions.*
2. *User Management: The admin portal allows administrators to manage user accounts, including creating new accounts, modifying user roles and permissions, and disabling or deleting accounts if necessary.*
3. *Property Management: Administrators can access and manage property information through the admin portal. They perform CRUD (create, read, update, delete) through this admin portal.*
4. *Financial Management: The admin portal provides functionalities to manage the financial aspects of the platform. This may include monitoring payment transactions, generating financial reports, tracking revenue, and managing payment settings and integrations with payment gateways.*
5. *Analytics and Reporting: The admin portal offers analytics and reporting capabilities to provide insights into platform usage, performance, and market trends.*
6. *Customer Support: The admin portal includes features for managing customer support and communication.*

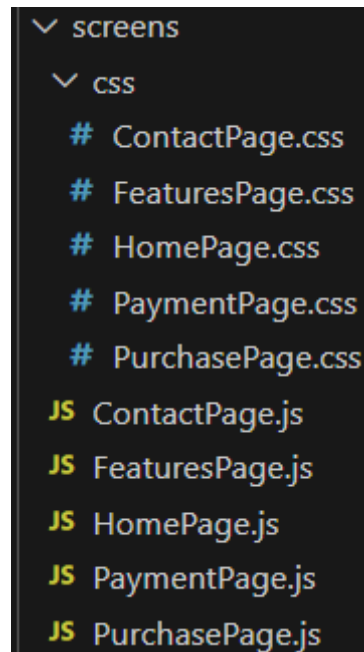
7. *Security and Access Controls: The admin portal includes tools for managing security settings and access controls.*

Website - architecture:

Since one of the channels in the business model is the official website, it is responsible for demonstrating the possible features that could be implemented in the RectConnect application, providing online payment services for our customers, and establishing communication with them. Therefore, the website architecture will be constructed as follows.



(diagram of website architecture)



(file hierarchy of pages)

Regarding features showcase, the features page contains a list of information cards to display a particular feature's title, details, and demo video. It is also responsible for

directing us to the contact page if the tailor-made feature(s) is/are needed.

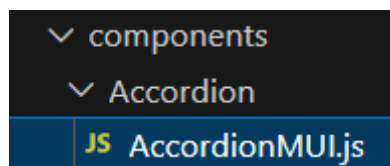
Regarding online payment service, the purchase page offers a couple of different business bundles, and customers can select their ideal plan based on their requirements and budget. After choosing a payment method, the customers will be directed to the payment page to provide identity information and their preferred payment methods. Eventually, customers shall confirm and commit to the payment process.

In terms of communication, the contact page allows customers to send messages to the company for consulting purposes. It provides a straightforward channel for them to reach the consultants without reliance on third-party software.

Website - Front-end:

The front-end development of the official website involves several web development languages, such as HTML5, CSS3, JavaScript, and React library. MUI, a React component library, has been discovered to facilitate website development and to provide some built-in components for the official website.

Regarding reusability, MUI equipped a comprehensive components library that could be utilized in many websites. In this case, the MUI accordion has been integrated into the components folder of our website as a reusable module.



(MUI accordion function in the component folder)

In the Q & A section of the home page, the MUI accordion indicated the common questions from the customers. Once the viewers click the question, the embedded answer will be displayed below the questions, which increases the website's visibility.

What does RentConnect offer?

RentConnect is a property-specific SaaS vendor that tailor-showcasing possible features and consulting services.

Who should use RentConnect?

What is SaaS?

(the application of MUI accordion in Q & A section)

In terms of scalability, since the possible features in the RectConnect app will be continuously released in the future, the maintenance of the website will be tedious and time-consuming. However, the MUI card component handles the layout of feature information and allows the developers to update the website by retrieving parameters from a JSON file. In this case, a JSON file (CardData.json) containing each feature's information will be maintained, and the website will be updated automatically once the JSON file has been modified.

```
{ } CardData.json > { } 2 >  img
[
  {
    "title": "User analysis system",
    "content": "This function allows your trading platform to perform data analy",
    "img": "../image/Analysis.jpg"
  },
  {
    "title": "Pair rental system",
    "content": "This function allows your trading platform to deliver a pairing",
    "img": "../image/PairRental.png"
  },
  {
```

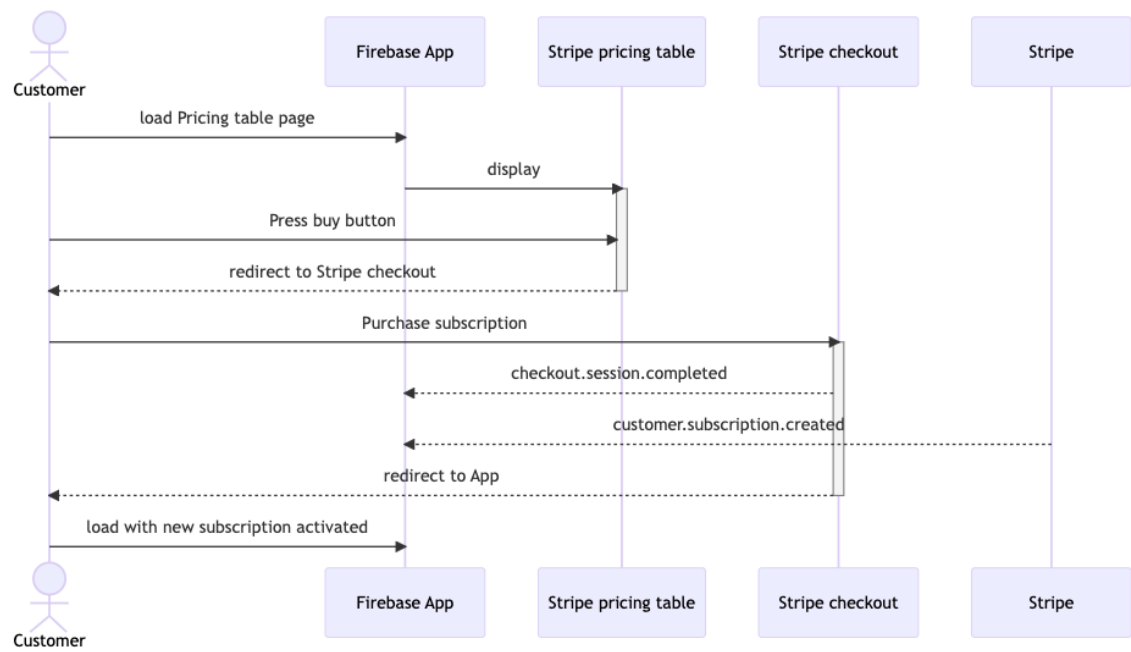
(feature information in CardData.json)

Website - Backend:

The website's backend mainly handles payments, stores customer information and subscription details, and receives messages from the Contact Us page. To create a seamless and secure workflow, the frameworks we chose are Firebase from Google and Stripe, which are well-integrated with Firebase.

Firebase is a non-SQL database allowing secure storage (SHA-256) and data transmission (TLS 2.0+). The data structure is constituted by collections and

documents nested together. In our project, we have three main.



Appendix - References

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